THE HARD ASSET LETTER

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Warsh's Tell

The new Fed chairman sounded hawkish and gold sold off. Read past the press conference, though, and his first meeting did something far more interesting for anyone who owns the metal.

Three weeks on, the market has settled on a tidy story: Warsh is a hawk, the dollar is firm, gold belongs in the penalty box for a while. It is a clean narrative. We think it reads the wrong page of the document.

Yes, the statement was hawkish. Rates were held, half the committee now sketches in a rate rise before the year is out, and the language was pared back to a blunt promise to get inflation down. Fine. But the thing that will matter to gold long after this week's price action is forgotten was not in the statement at all. It was in the housekeeping. At his first meeting Warsh handed out five reviews, and one of them was told to study — in the Fed's own dry phrasing — "the ample reserves regime and the composition of the balance sheet."

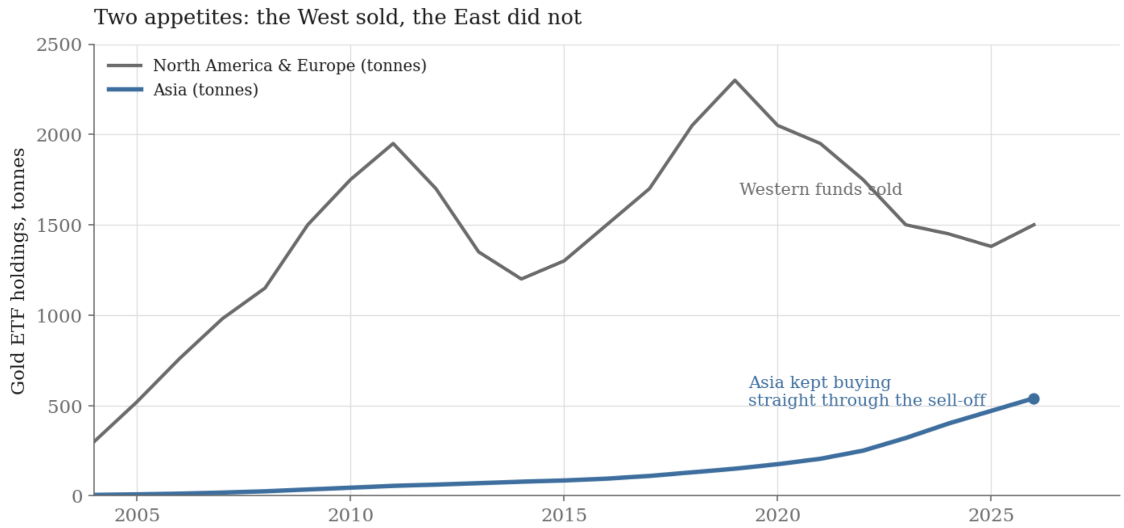
That sounds like nothing. It is, in fact, the whole game. The ample-reserves regime is the system that pays banks interest to leave money sitting at the Fed. The composition of the balance sheet is the question of which government debt the Fed chooses to own. These are the two pipes a central bank turns when it wants to make money cheaper and the government's debt easier to carry without ever touching the headline rate — the rate that makes the news. A chairman who has spent years calling the interest paid on reserves a subsidy to the banks just put both pipes on the workbench. He is not easing. He is quietly studying how to.

Here is why a gold holder should care. For forty years the metal has answered to one thing above all: the real interest rate, what cash earns once you take inflation out. The correlation has already loosened since 2022, when central banks became price-insensitive buyers. Rebuild the plumbing the way this review hints, and it does not merely loosen further — the real rate itself stops being an honest number to correlate with: a price set by the market becomes a number the Fed manages down while inflation goes where it likes. At that point gold stops trading interest rates and starts trading something older and far harder to fake — whether anyone still believes there is a wall between the central bank and the Treasury it funds. When that wall looks solid, gold is dull. When it starts to crack, gold runs. We are watching for one specific signal: the day reserve reform is paired with a softening of the leverage rules for banks that hold Treasuries. That has not happened. But the committee that could make it happen now exists, and it reports back by year-end. That is the development worth your attention, not the dot plot.

Meanwhile, consider who actually did the selling. Not long-term owners changing their minds. The leveraged and the systematic, forced out as volatility spiked across every market at once and margin desks called the most crowded trade in the book. You can see it in the futures market: total open interest has collapsed back to levels last seen in the wreckage of 2008 — the leveraged money has already gone home.

Total open interest in Comex gold futures (white, right axis) against the gold price (yellow, left axis), weekly. Arrows mark the 2008 and early-2026 washouts. Source: Bloomberg, CFTC. Past performance is not indicative of future results.

And on the other side of all that forced selling stood a buyer who never flinched. While Western funds were shedding metal, demand in Asia carried on as if nothing had happened — the regional exchange-traded funds kept growing straight through the worst of it, and one large Asian market posted its heaviest monthly imports in more than a year during the drop. The two appetites could hardly look less alike.



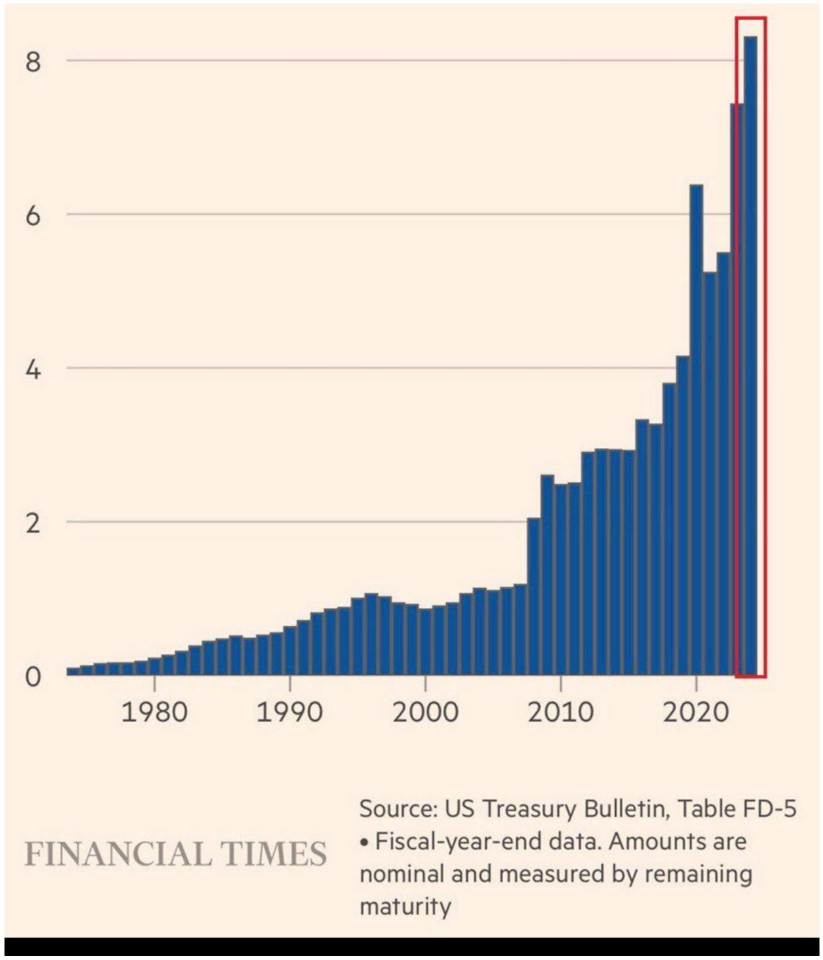
Gold held in exchange-traded funds, East versus West, indicative tonnage. Source: data from Bloomberg and the World Gold Council; author's rendering.

There is an irony in the hawkish turn, too. The chairman is talking tough on inflation just as the reasons to fear it are fading. What pushed prices up this spring was energy, and oil has already round-tripped — from around $110 a barrel back below $70 once the Strait of Hormuz reopened. Look beneath the headline number and the picture is cooler still: market-based inflation expectations have been easing, the core readings are flattening, rents and shelter are levelling off, and wage growth is tame. A central bank that marks its inflation forecasts up into that backdrop is fighting the last war. Walk those forecasts back over the next few months — which is where the forward-looking data points — and the single biggest reason gold sold off walks back with them.

Beneath all of it sits a harder limit: the arithmetic of the debt. Federal debt now stands above the size of the economy — gross obligations of roughly $39 trillion, with debt held by the public crossing 100 per cent of GDP this spring for the first time since the immediate aftermath of the Second World War. Roll a pile that large at four or five per cent instead of the one or two we lived with for twenty years and the interest bill compounds into something genuinely alarming, fast; net interest has already pushed past a trillion dollars a year, more than the defence budget.

The part that rarely makes the front page is the calendar. This is not a debt that sits quietly for thirty years; it is a debt that has to be sold again, and again, on a relentless schedule. Around a third of all marketable debt comes due within twelve months — the chart below makes the scale plain — and the Treasury rolled roughly $9 trillion of maturing securities in fiscal 2025, with the Government Accountability Office putting the fiscal-2026 refinancing task near $9.7 trillion on top of fresh deficit borrowing. The low-coupon debt of 2020–21 keeps maturing into today's yields. A government with that much paper to place, that often, has every incentive to make sure the buyers turn up.

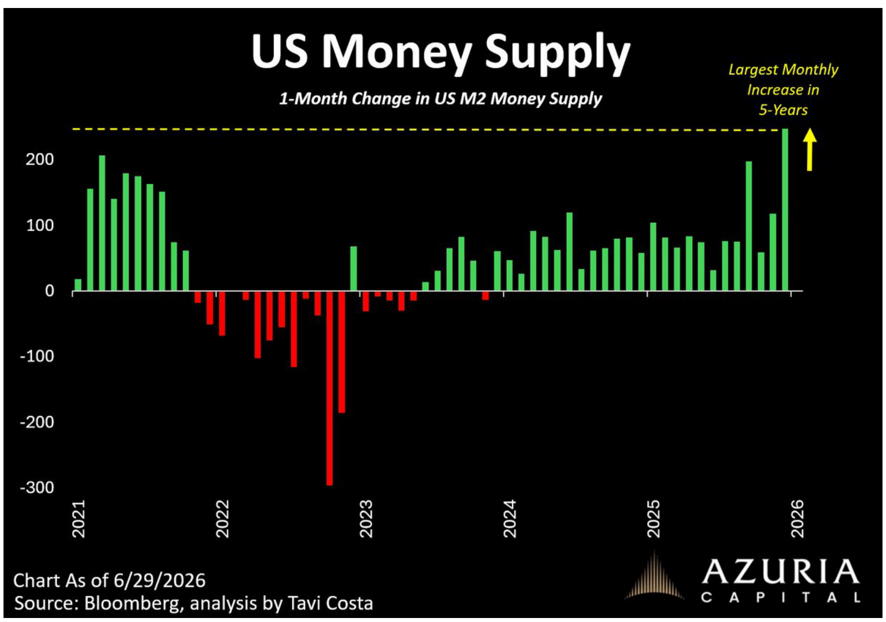
Treasury rollover risk now runs into the trillions – Privately held marketable US Treasury debt maturity one yeat ($1tn)



Privately held marketable US Treasury debt maturing within one year. Source: US Treasury Bulletin, Table FD-5, via Financial Times; fiscal-year-end data, nominal, measured by remaining maturity.

Which reframes the strong dollar. A firmer dollar and yields held up here are usually read as a hawkish Fed flexing its muscles. Seen against the funding calendar, they look like something closer to a recruitment drive. A rising dollar makes Treasuries the asset private capital is pulled toward; money is herded into the very paper the government most needs to sell, at the precise moment it most needs to sell it — even as official reserve managers quietly head the other way, into gold. The bonds may be unpayable in real terms — refinanced, never retired — but a strong currency is what persuades the world to keep buying them anyway. The uncomfortable implication is that the dollar's strength need not last a day longer than the financing requires. Once the paper is placed, the same authorities that wanted a firm dollar to fund themselves have every reason to want a softer one to inflate the burden away. That is not a forecast; it is simply the logic of the position. And it is a firm dollar with rates held up that, time and again, has ended up breaking something in the financial system — and when it breaks, the talk stops being about hikes and turns back to support, overt or stealth. None of this makes the next few weeks comfortable. But a 25 per cent drawdown is an ordinary feature of the great gold bull markets, not the end of one, and the stretches that have felt this bleak have usually, looking back, been the ones worth leaning into rather than running from.

One more exhibit belongs in the file. While the chairman was talking tough, the money itself was doing something else entirely: the one-month change in US M2 has just printed its largest rise in five years — large by post-COVID standards, that is; the emergency prints of 2020 remain in a class of their own. A single month deserves caution, the series being noisy and subject to revision, but the implication sits awkwardly beside the hawkish script. Whatever the podium says, the quantity of money is expanding again. None of this contradicts the disinflation point above: money growth shows up in asset prices long before it shows up, if ever, in the consumer price index. And gold has never waited for a rate cut; what it needs is liquidity. A monetary aggregate accelerating at this pace while rates are held still is the real-rate squeeze arriving by another door — and precisely the backdrop in which the metal has historically done its best work.



One-month change in US M2 money supply, USD billions, as of 29 June 2026. Source: Bloomberg; analysis by Tavi Costa, Azuria Capital. Past performance is not indicative of future results.

So put the two pictures together. The price fell because the loud, borrowed, Western money was pushed out the door — while the quiet money, in Asia and in central-bank vaults, kept buying what the loud money was dumping. And the new man at the Fed, for all his hawkish talk, just opened a formal study of the one set of tools that would matter most to gold if he ever chose to use them. Hawkish on the surface. Something rather different underneath.

Step back far enough and the categories blur. Gold, silver, currencies and bonds are not really competing in isolation; they are all expressions of the same thing, which is confidence — in an issuer, in a promise, in the wall between the bank that prints and the treasury that spends. The question worth holding onto is not whether capital shuffles from one of them to another for a quarter or two. It is what happens on the day confidence itself becomes the scarce resource. That is the moment the question every investor asks quietly changes. It stops being "what offers the highest return?" and becomes "what stays dependable under stress?" Gold has spent five thousand years answering the second question. It is dull precisely until that is the only question left — and the work of this letter is to be early to it, not late.

The full case — fifty years of crises, the real-rate engine, the mining equities and the bank targets — is in our deep dive. Read Gold in Correction: A Fifty-Year Perspective →
